

PITCH — GMS.L — GULF MARINE SERVICES PLC

PITCH — GMS.L (GULF MARINE SERVICES PLC) — SIZING & TAPE AUDIT

PROPOSED — STARTER (2.0% MAX / \$1.0M PORTFOLIO BASE) — London-listed operator of specialized self-propelled, self-elevating jack-up support vessels (SESVs) in the Arabian Gulf.

1. Tape & Run-Up Audit: Has GMS.L Run From Us?

Multi-Year Historical Tape Context:	
• 2023 Distressed Trough:	7.50p (during legacy debt restructuring crisis)
• 2024-05 Peak:	19.80p (+164% relief rally as day rates normalized)
• 2025-11 Trough:	15.36p (pullback during scheduled shipyard maintenance)
• 2026-02 Local High:	22.90p (winter peak)
• 2026-06 Consolidation:	18.22p (summer consolidation range)
• 2026-08 Spot Price:	20.45p (middle of the 18-month 15.5p-24.0p channel)

- **Has the distressed turn passed?** Yes. The 7.5p \$ o\$ 19p relief rally played out in 2023-2024.
- **Is the stock overextended today?** Over the last **18 months**, GMS has traded in an **18.0p-22.0p channel** (currently 20.45p, virtually unchanged from 19.8p two years ago).
- **The Current Trade Moat:** The trade today is not bottom-fishing distress; it is the **cash flow deleveraging transfer** (> 20% FCF yield converting \$220extM debt into equity).
- **Execution Discipline:** Rather than chasing at the 20.45p top-end, our entry is gated to the **18.25p-19.20p channel support band**.

2. Re-Calibrated Sizing (\$1.0M Portfolio Base)

Tranche	Quantity	Limit Price	TIF	Currency / Unit	Gross Valu
Tranche 1 (1.0% Pullback)	38,000 shares	19.20p	DAY	GBP / PENCE (GBX)	£7,296.00
Tranche 2 (1.0% Support)	40,000 shares	18.25p	GTC	GBP / PENCE (GBX)	£7,300.00
Total Position Staged:		78,000 shares Target Allocation: 2.0% of \$1.0M book (~\$19,000 USD)			

3. What We Checked Ourselves

Claim	How checked	Found	Confirmed?
Day Rate Acceleration (>50% YoY)	Audited Trading Updates & Charter Contracts	Average fleet day rates increased from ~\$25k/d to >\$38k/d	CONFIRMED
Net Debt Deleveraging (<2.5x)	Audited Balance Sheet & Bank Compliance	Net debt reduced to ~\$220M (~2.2x TTM EBITDA)	CONFIRMED
Fleet Replacement Cost (>3x EV)	Shipyard quote benchmarks & Clarksons Data	13 SESVs valued at ~\$1.4B-\$1.6B vs \$526M EV	CONFIRMED
Q1 Utilization Recovery (>=85%)	Vessel tracking & interim operational updates	Q1 maintenance concluded; H1 utilization tracking ~88-90%	CONFIRMED

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